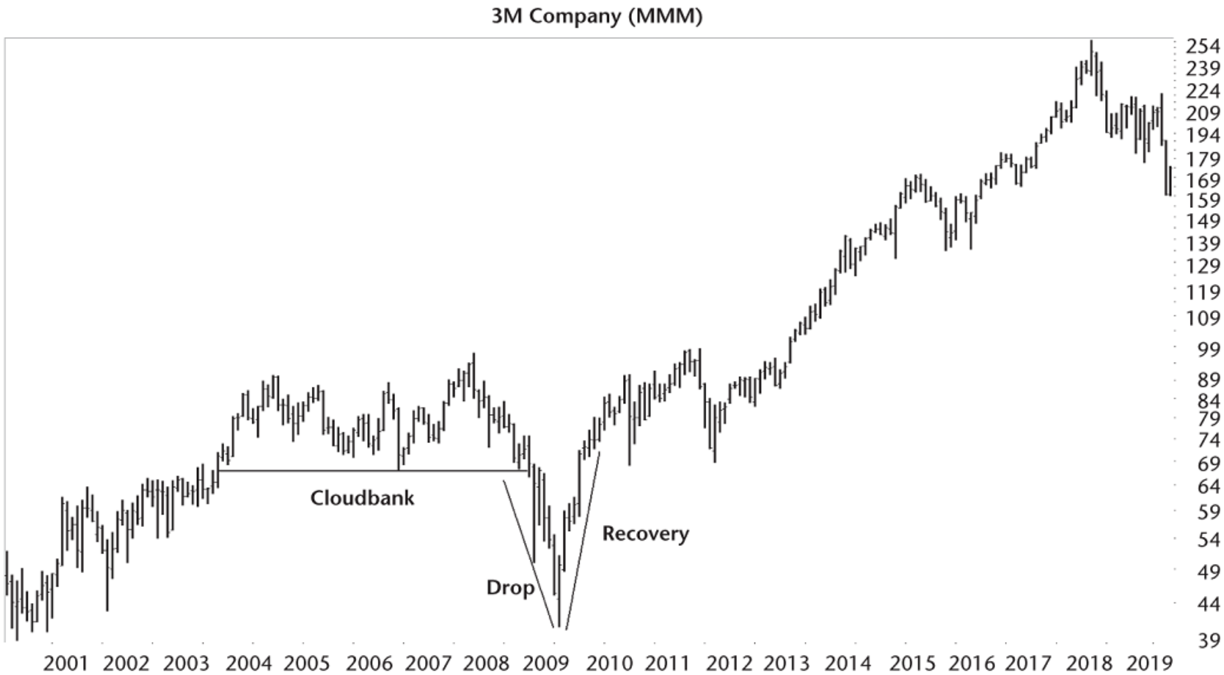

Figure 18.1 A cloudbank lasts for years until the 2007–2009 bear market takes price down.

Such large gains are typical for cloudbanks, which is why I like them. The average rise is 386%. Now that's tasty! Unfortunately, it measures from the lowest low to the bottom of the cloudbank (a perfect trade) or to the highest high until the end of data. The huge gain suggests there's money to be made trading clouds if you're willing to hold on and tolerate the risk.

Identification Guidelines

Table 18.1 shows the identification guidelines for cloudbanks. Refer to **Figure 18.2** as I discuss them.

Appearance. Use the figures in this chapter as guidance, but you're looking for price to slide sideways for years before a steep plunge.

Scale. Finding cloudbanks on the historical scale is easy. Switch to the monthly chart to locate them. Figure 18.2 shows two cloudbanks, A and D. Notice that each price bar represents a month, so there are 12 bars to a year. This scale allows you to find these long patterns, which often stretch for several years before the big drop happens.